

want to hold bonds, it is better to hold taxable bonds in a tax-deferred account rather than holding tax-exempt bonds in a taxable account. The exception is if you are so risk averse and subject to constraints (like the ones above), that you need to hold bonds in both the taxable and tax-deferred accounts. So the case for munis for a moderately risk tolerant investor should be made on the basis of factor exposure, as I have advocated for any other asset class (see chapters 7 to 10), not the tax exemption per se.

4.3. TAXES AND DYNAMIC FACTORS

Taxes have a significant effect on dynamic trading strategies, especially strategies that have high turnover and generate plentiful short-term capital gains (which are taxed as income). Bergstresser and Pontiff (2009) and Israel and Moskowitz (2011) examine the effect of taxes on the value-growth and momentum factors described in chapter 7. Not surprisingly, since the dynamic factors involve continual trading, taxes reduce the value-growth and momentum premiums. Bergstresser and Pontiff document that the tax-exempt value-growth premium of 3.5% is reduced to 1.8% for a high income resident of New York State using the tax rates investors were subject to between 1927 and 2009. The same investor would reap an after-tax momentum premium of 8.1% while a tax-exempt investor undertaking the momentum strategy would have enjoyed a return of 10.5%. Value-growth and momentum investing are tax inefficient because of the large dividends that value stocks generate and the high turnover of the momentum strategies.

Taxable asset owners implementing dynamic factor strategies should be encouraged that while the value-growth and momentum premiums are diminished, they are still present on an after-tax basis. There is ample scope for tax optimization of these strategies. Israel and Moskowitz (2011) find that tax optimization induces large improvements to value and momentum styles. I also advise taxable asset owners to locate these dynamic factor strategies, as far as possible, in tax-exempt accounts and consider tax-optimized versions of these factors in taxable accounts.

4.4. TRUSTS

Trusts do not exist solely to avoid or defer taxes; some trusts are designed primarily to protect assets from profligate family members rather than to minimize paying Uncle Sam. Some trusts are designed to actually disinherit family members and to preserve estates. But most trusts are set up with some intention of minimizing taxes, especially the estate tax (called the “death tax” by those who advocate removing all estate taxes).